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USA | Aerospace & Defense Electronics

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Engine Aftermarket Cash Flows: Whose Right Is It?

RTX mgmt took a stance on the Engine OEM biz model as it relates to the next-gen single aisle engines. The view would be to smooth its cash flows over the life of an engine program vs the current biz model of heavy OE losses and realizing profits over a ~25-yr life after decades and $BBs of investment to establish an installed base. For context, '26E $2MM NEM on GTF w/ total RTX Comm'l OE losses of $1.14BB vs GE's $645MM of Eqmt losses driven by GE9X w/ LEAP +.

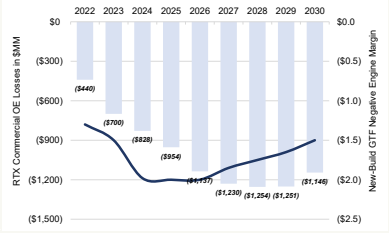
Propulsion Business Model In Need of A Change. On the Q2:26 EPS call, RTX mgmt stated it is open to modify the engine business model for its next-gen single-aisle propulsion technology. The preference would be to a model w/ smoothed cash flows over the life of an engine program, given the decades and $BBs of investment required vs currently selling engines at a loss (Ex 1, 2) and realizing profits on 4-6 SVs over a ~25-yr life. Mgmt ultimately wants to better spread the economics over the life of a program, w/ ***JEF View*** that this is likely done through 1) higher new install pricing; 2) airframers sharing in R&D and capital in a more disciplined duopoly; 3) supplier squeeze; or 4) mergers. Given the fragile supply chain, option #2 could be most feasible.

Airbus Ambitions for Next-Gen SA. Airbus indicated at its recent business update its ambition to grow services revenues to €10bn by 2030, with M&A part of that driver. While Lars Wagner (Airbus Commercial CEO) did not specifically refer to engine technology, he mentioned that Airbus is discussing with aftermarket players how to merge their predominantly OE-driven business model with what can be 30-year aftermarket business model for the next-generation single-aisle platform. Airbus has launched a €5bn buyback program recently and, on our FCF assumptions, would enjoy a further €22bn to allocate to further buybacks or M&A by 2030 while still maintaining its target €10bn net cash buffer.

RTX: Negative Engine Margin of ~$2MM on New-Build GTF. New-build GTF engines are loss-making w/ an assumed $2MM loss per GTF engine in '26 on RTX's 51% ownership of the program, which implies a total program loss of closer to ~$4MM compared to an ASP of $3.75MM. This suggests there is ~$8MM of cost associated with each engine. We est 2026 total RTX-level Commercial OE losses of $1.14BB, or an ~$183MM y-o-y headwind, with an additional ~$93MM y-o-y headwind in '27 to $1.23BB in losses, peaking at ~$1.25BB in '28/29 (Ex 1) and begin improving in '30 as normalized pricing restores.

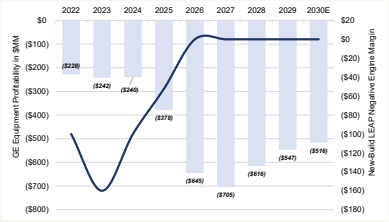
GE: Market Share and Stellar Performance Has Led to Profit Stream - LEAP Program Broke Even for First Time in 2025 9 Yrs After EIS and '26 as GE9X OE Losses of $585MM. LEAP continues to pace to OE breakeven in '26, although a more typical spare engine ratio remains a headwind. OE losses peak in 2027E, driven by GE9X, which created a multi-$100MM headwind in '25 vs. '24, growing to a multi-$100MM headwind. JEFe starting ~$10MM NEM at the top of the learning curve & launch pricing, with 20 units in 2025 creating a $250MM loss. By 2028, we est $6MM NEM on 114 units creating a $650MM loss, although this may be conservative as GE has guided for 30% of cost-out by unit 50, which occurs in 2026, and an add'l 30% of cost-out by unit 2025, which occurs in early 2029. JEF ests $375MM of incremental Engine losses to 2028 from 2024.

Exhibit 1 - P&W Commercial OE Profits and GTF Negative Engine Margin - Peak Commercial OE Losses in 2028/2029 Before Improving Pricing Materializes End of Decade



Source: Company data, Jefferies estimates

Exhibit 2 - GE CES Equipment Profitability and LEAP Negative Engine Margin - Peak OE Losses in 2027 Driven by GE9X as LEAP Assumed BE in 2026



Source: Company data, Jefferies estimates

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Thursday, July 23, RTX Q2 Earnings Transcript

Chris Calio (CEO): *Yeah, thanks. I would say the first thing, and I know coming out of these air shows, it's the right forum to be thinking about like sort of what's next and maybe the shiny new toys that are out there. I will just tell you that our focus today is on execution, obviously driving additional deliveries to Airbus supporting the GTF aftermarket and then executing on those 8,000 engines that are still in backlog. So we continue to believe that NGSA is going to continue to move to the right because the industry needs stability. Our customers need stability and supply chain needs and wants stability. And so I think those things are the focus, and we agree with that.*

But to your point, we've been, I think, pretty steadfast in our belief that the next-generation single aisle, especially on the propulsion side, will need to have a different business model. I think the idea that we're going to invest all this money upfront and then, again, not have high margins on deliveries and then rely on anywhere from four to six shop visits over a 25-year period. I don't think that, that is the best model going forward.

I think we need to smooth out some of those cash flows and some of that investment. And we're open to any number of ways to do that. And we've had some preliminary conversations around that. But I would just agree with the underlying premise that the business model is going to need to change in the future, and that's something we're going to continue to drive.

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Airbus Group NV
Valuation: SOTP-based. Risks include ramp-up constraints and airline bankruptcies.

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We value GE Aerospace at a blended average of 2027 P/E, EV/EBITDA, and FCF yield. Risks include 1) accelerated aircraft retirements due to increasing new OE deliveries and/or softening air traffic demand; 2) delayed LEAP durability improvements affecting customized service agreement revenue and profit recognition, as well as GE9X loss magnitude; and 3) slowing aftermarket growth tied to macro and retirement wave.

RTX
Our price target is based on a blended average of 3 valuation methods: 1) EV/EBITDA; 2) P/E; and 3) FCF Yield. Risks include a disruption to emerging market growth, GTF costs, defense budget risk, and restructuring conversion.

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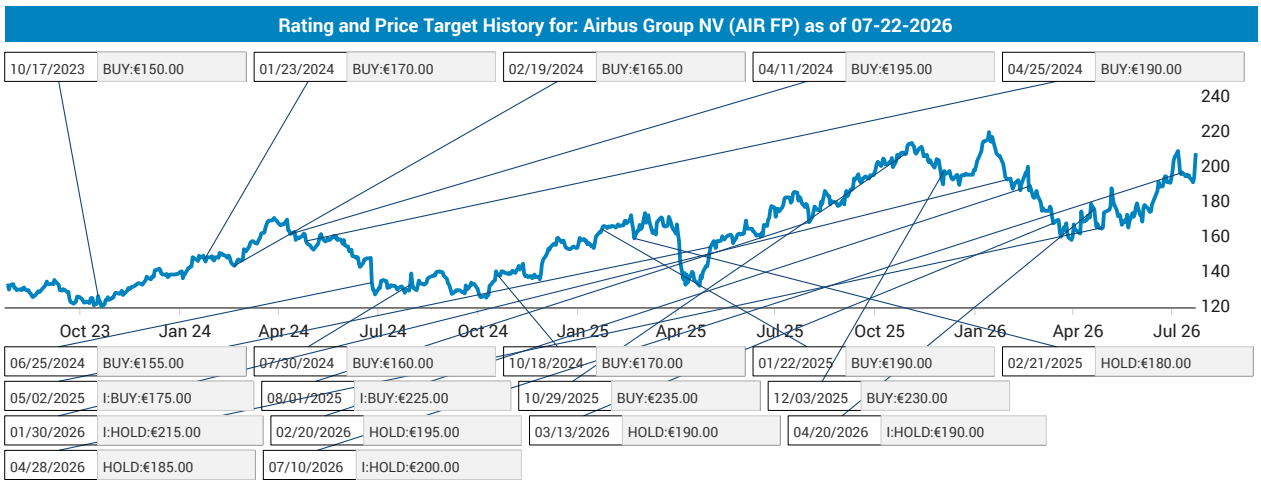
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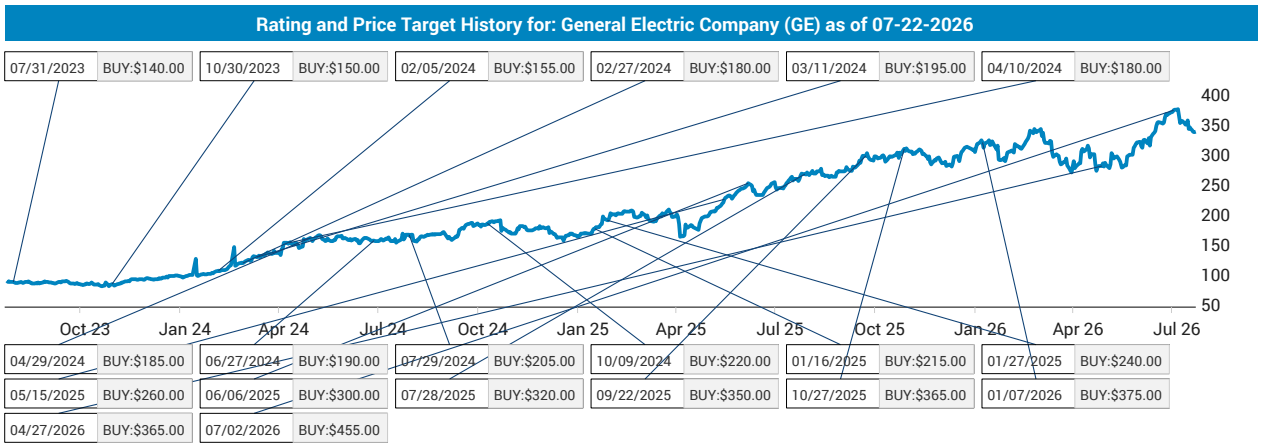
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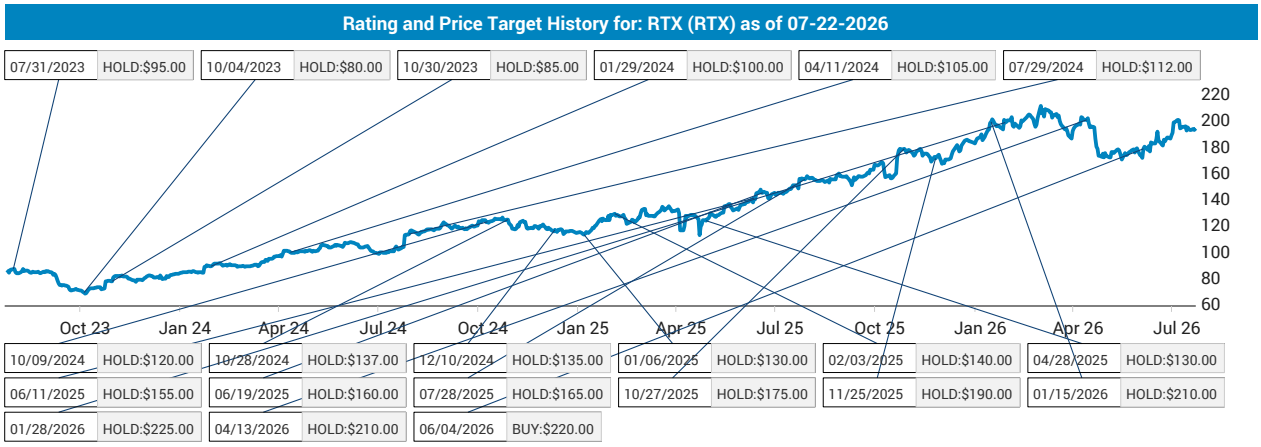
- Airbus Group NV (AIR FP: €208.30, HOLD)
- General Electric Company (GE: $341.19, BUY)
- RTX (RTX: $194.88, BUY)



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Legend:

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